



Business Responsibility Report

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company: L24230GJ2010PLC061123
2. Name of the Company: Alembic Pharmaceuticals Limited
3. Registered Address: Alembic Road, Vadodara – 390 003
4. Website: www.alembicpharmaceuticals.com
5. Email Id: apl.investors@alembic.co.in
6. Financial Year reported: 1st April, 2021 to 31st March, 2022
7. Sector(s) that the Company is engaged in (industrial activity code-wise):

Industrial Group	Description
210*	Manufacture of Pharmaceuticals

*As per National Industrial Classification (NIC) 2008.

8. List three key products/services that the Company manufactures/provides (as in balance sheet):
 1. Azithromycin
 2. Venlafaxine
 3. Telmisartan
9. Total number of locations where business activity is undertaken by the Company:
 - (a) Number of International Locations: The Company has 2 foreign subsidiaries at Switzerland and USA. Details of step down subsidiaries, associates and joint ventures are provided in Form No. AOC-1 in this Annual

Report. The Company also has representative offices in various countries.

- (b) Number of National Locations: The Company has manufacturing facilities situated at Panelav, District Panchmahal, Gujarat; Karakhadi, District Vadodara, Gujarat; Jarod, District Vadodara, Gujarat and Samardung Busty, Namthang, South Sikkim and R & D Centers situated at Vadodara and Hyderabad.

10. Markets served by the Company: In addition to serving the Indian market, the Company exports to around 82 countries worldwide.

Section B: Financial Details of the Company

1. Paid up Capital (INR): ₹39.31 Crores
2. Total Turnover (INR): ₹5,035.41 Crores
3. Total profit after taxes (INR): ₹543.55 Crores
4. Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): The total CSR spend for the year was ₹22.26 Crores which is 2% of the average net profits of the Company made during the immediately three preceding financial years.
5. List of activities in which expenditure in 4 above has been incurred:-
 - (a) Covid Relief / Prevention activities
 - (b) Healthcare including preventive healthcare
 - (c) Education
 - (d) Sanitation
 - (e) Promotion and development of traditional arts and handicrafts
 - (f) Adoption of Schools in tribal/backward areas

- (g) Rural development projects
- (h) Livelihood Enhancement
- (i) Disaster relief

Section C: Other Details

1. Does the Company have any Subsidiary Company/ Companies?
Yes.
2. Do the Subsidiary Company/Companies participate in the BR initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s):
No.
3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with participate on the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30%-60%, More than 60%]:
No.

2. Principle-wise (as per NVGs^A) BR policy/policies

(a) Details of compliance (Reply in Y/N)

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/policies for....	Y	Y	Y	Y	Y	Y	Y	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3.	Does the policy conform to any national /international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
		The policies are based on the National Voluntary Guidelines on social, environment and economic responsibilities of business issued by the Ministry of Corporate Affairs, Government of India.								
4.	Has the policy being approved by the Board? Is yes, has it been signed by MD/ owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
		All the policies were signed by Mr. Pranav Amin, Managing Director.								
5.	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6.	Indicate the link for the policy to be viewed online?	*	*	*	*	*	*	*	*	*
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8.	Does the company have in-house structure to implement the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y

Section D: BR Information

1. Details of Director/Directors responsible for BR

(a) Details of the Director/Director responsible for implementation of the BR policy/policies

1. DIN Number: 00245099
2. Name: Mr. Pranav Amin
3. Designation: Managing Director

(b) Details of the BR head

No.	Particulars	Details
1.	DIN Number	00245099
2.	Name	Mr. Pranav Amin
3.	Designation	Managing Director
4.	Telephone number	+91 265 2280550
5.	Email id	apl.investors@alembic.co.in

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10.	Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

^National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business issued by the Ministry of Corporate Affairs in July 2011.

*<https://alembicpharmaceuticals.com/wp-content/uploads/2022/02/Policies-on-Business-Responsibility.pdf>

(b) If answer to the question at serial number 1 against any principle, is 'No', please explain why: (Tick up to 2 options): Not Applicable

3. Governance related to BR

- (a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year: Annually
- (b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?
- Yes, BR is published annually in the Annual Report and available at <https://alembicpharmaceuticals.com/annual-reports/>

Section E: Principle-wise performance

Principle 1: Ethics, Transparency and Accountability

- Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?
No. The policy relating to ethics, bribery and corruption covers the entire Alembic Group.
- How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.:
During the year under review, the Company did not receive any such complaint.

Principle 2: Product Sustainability

- List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.
 - Active Pharmaceutical Ingredients
 - Finished Dosage Formulations
- For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of production (optional):
 - Reduction during sourcing/production/distribution achieved since previous year throughout the value chain?

The Company manufactures at its world class manufacturing facilities, a wide range of Branded & Generics Formulations and APIs. As consumption per unit depends on the product mix, there are no specific standards to ascertain reduction achieved at product level.
 - Reduction during usage by consumers (energy, water) has been achieved since the previous year?

The Company's products do not have any broad-based impact on energy and water consumption by consumers. However, the Company has taken several measures to reduce the consumption of energy and water.

- Does the Company have procedures in place for sustainable sourcing (including transportation)?

- (a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

The Company has formulated an operating procedure to approve vendors. Materials are procured from approved vendors both, local and international. The quality assurance team of the Company conducts periodic audit of the vendors, especially those who supply key materials. The Company has longstanding business relations with regular vendors. The Company enters into annual freight contracts with leading transporters for movement of materials. The Company continues to receive sustained support from its vendors.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work?

- (a) If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

The Company procures goods and avail services from local and small vendors, particularly those located around its manufacturing locations. The Company provides technical support and guidance to vendors in developing products wherever possible.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

Yes. The Company has mechanism for recycling of product as well as waste. >90% of total effluent generation (only API's) is recycled, recovered and reused in boilers, cooling towers and in some cases used in the feed water, thereby reducing fresh water consumption. Domestic effluent is treated in STPs and its outlet is 100% used for gardening in Company campus to reduce fresh water intake.

90% of incinerable waste, generated from production plants, is sent for co-processing at cement manufacturing company as a fuel for their kiln. Spent solvents generated from the production plants are redistilled and reused in the plants.

Boiler fly ash used for brick manufacturing & cement manufacturing instead of land filling.

Principle 3: Employees' Well-Being

- Total number of employees: 12,216
- Total number of employees hired on temporary/contractual/casual basis: 3,268
- Number of permanent women employees: 639
- Number of permanent employees with disabilities: 10
- Do you have an employee association that is recognized by management: No
- What percentage of your permanent employees is members of this recognized employee association? Not Applicable
- Number of complaints related to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year:

No.	Category	No of complaints filed during the financial year	No of complaints pending as on end of the financial year
1.	Child labour/ forced labour/ involuntary labour		
2.	Sexual harassment		Nil
3.	Discriminatory employment		

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

- (a) Permanent Employees: 96%
 (b) Permanent Women Employees: 95%
 (c) Casual/Temporary/Contractual Employees: 95%
 (d) Employees with disabilities: 95%

Principle 4: Stakeholders Engagement

1. Has the Company mapped its internal and external stakeholders?
 Yes.

2. Out of above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders:

Yes.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

The Company through its Non-Profit Organisations viz. Alembic CSR Foundation, Rural Development Society, Bhailal Amin General Hospital, Uday Education Society and others are taking various initiatives in the area of Education, Healthcare including Preventive Healthcare, Community outreach programs, Sanitation, Employment enhancing vocational skills, etc. to engage with the disadvantaged, vulnerable and marginalized stakeholders.

Principle 5: Human Rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

The Company's policy on human rights covers the entire Alembic Group.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

During the year under review, the Company did not receive any such complaint.

Principle 6: Environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.

The Company has defined environment, health and safety (EHS) policy and this is applicable to the entire Alembic Group. The Company has included EHS requirement as a part of the contract and service agreement for all the contractors. The Company also ensures that the deployed contractor's workers are having mandatory PPE's and trained in safety & respective job work training before starting their job work. For the critical suppliers, the Company has implemented supplier sustainability program for sustainability improvement across value chain.

2. Does the Company have strategies/initiatives to address global environmental issues such as

climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

The Company is proactively minimizing greenhouse gas emissions by using green energy and fuel switch over to cleaner fuels. The Company has installed 2.1MW wind turbine generator at Kutch and solar panel installation at many manufacturing sites to use renewable energy. The Company continues to invest in energy-efficient equipment to increase the efficiency & product quality and modify existing processes to optimize consumption of utilities (air, water and energy), thereby minimizing carbon footprint. Please refer environment initiative mentioned in Annexure C to the Board's Report and accessible at:

<https://alembicpharmaceuticals.com/annual-reports/>

3. Does the Company identify and assess potential environmental risks?

Yes, the Company identifies and assesses potential environmental risks and eliminates such risks through necessary mitigation measures. No projects are initiated unless all the legal and other requirements are fulfilled. The Company has adopted various methods of inspection, audit, PHA, PSSR and Risk Assessment to identify potential environmental risks.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

At present, we do not have any project related to Clean Development Mechanism. However, we have adopted green energy (wind & solar) as an alternate source of energy and installed solar panels in most of the manufacturing facilities.

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for webpage etc.

The Company has implemented energy efficient and renewable energy projects across manufacturing facilities. The Company is quick in identifying improvement opportunities in the area of energy efficiency, use of technology for energy minimization and increasing the use of renewable energy. This has led to continuous reduction in total energy consumed year on year. The details

of various initiatives taken in this regard are mentioned in Annexure C to the Board's Report.

<https://alembicpharmaceuticals.com/annual-reports/>

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, all the emissions / waste generated by the Company are within the permissible limits given by CPCB/SPCB and the Company has made all the mandatory submissions as per applicable CPCB/SPCB norms. In API manufacturing facilities, online continuous emission/discharge monitoring systems are used, wherever possible, for real time monitoring of emission parameters.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.
The Company has no pending show cause/ legal notices from CPCB/SPCB as on end of financial year.

Principle 7: Advocacy

1. Is your Company a member of any trade and chamber of association? If Yes, Name only those major ones that your business deals with:

The Company is a member of various trade bodies and chamber of associations inter alia:-

- (a) Federation of Gujarat Industries.
- (b) Federation of Indian Chambers of Commerce & Industry.
- (c) International Chamber of Commerce.
- (d) Indian Drug Manufacturers' Association.
- (e) Federation of Indian Export Organisations.
- (f) Pharmaceutical Export Promotion Council of India.

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others):

Yes. The Company has advocated on various areas concerning economic reforms, best practices, new standards or regulatory development pertaining to pharmaceutical industry through the associations, from time to time.

Principle 8: Community Development

1. Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

Alembic Group has been proactively carrying out various community development activities since over fifty years. Alembic Group has established, nurtured and promoted various Non-Profit Organisations focusing on three major areas – Education, Healthcare and Rural Development. The details are mentioned in Annexure A to the Board's Report.

Alembic has been providing gainful employment opportunities to the local population from in and around the manufacturing facilities.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/ government structures/any other organization?

The Company undertakes programmes/projects directly/through various Non-Profit Organisations viz. Alembic CSR Foundation, Rural Development Society, Bhailal Amin General Hospital, Uday Education Society and others.

3. Have you done any impact assessment of your initiative?

Yes, for major initiatives.

4. What is your Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken:

The details are mentioned in Annexure A to the Board's Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

The Company conducts impact assessment of its CSR initiatives through feedbacks collected from the beneficiaries of projects undertaken as well as through independent third parties. Various projects are undertaken with Government and Semi-Government agencies that have their monitoring mechanisms and impact assessment systems. We believe that our initiatives has genuinely covered and benefitted large number of beneficiaries.

Principle 9: Customer Value

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year.
Nil.
2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A./Remarks (additional information):
No. The Company follows all legal statutes with respect to product labeling and displaying of product information.
3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices,

irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.

No.

4. Did your Company carry out any consumer survey/consumer satisfaction trends?

No.

On behalf of the Board of Directors,

Pranav Amin

Managing Director and BR Head
(DIN: 00245099)